PURPOSE CAPITAL

APPENDIX “RISK APPETITE AND LIMITS” TO POLICY PC-POL-RIS-001 · TABLE APPROVED BY THE BOARD OF DIRECTORS

Ref. **PC-POL-RIS-001-A1**
Version 0.9
Internal

Risk appetite statement and table of limits

Completed by RCCI, on a proposal from the Chief Executive Officer **Frequency** Annual approval and upon each amendment **Kept by** RCCI · minutes of the Board of Directors

Risk appetite statement. Purpose Capital S.A. accepts the risks inherent in its business as an intermediary — operational risk, business risk and reputational risk — within the limits below. It refuses any risk to its clients' assets, any proprietary speculation and any regulatory breach.

Area	Appetite	Indicator	Alert threshold (amber)	Limit (red)	Owner
Own funds	Low	Own funds	FCFA 300,000,000 + 3 months of fixed costs	FCFA 300,000,000	Chief Executive Officer
Liquidity	Low	Available own cash, in months of fixed costs	9 months	6 months	Chief Executive Officer
Bank concentration	Low	Share of own cash held with the largest bank	50%	60%	Chief Executive Officer
Proprietary positions	None, other than cash management	Securities held for own account other than cash investments	—	FCFA 0	Chief Executive Officer
Firm underwriting	Low	Firm underwriting or guarantee commitments, as % of own funds	15%	25% without Board approval	Head of Capital Markets
Client assets	None	Reconciliation differences unexplained after 2 business days	—	0	Chief Executive Officer
Credit to clients	None	Orders transmitted without cover	—	0	Chief Executive Officer
Execution errors	Low	Number of errors per quarter	2	4 or any error > FCFA 1,000,000	Chief Executive Officer
Non-compliance	None	Regulatory breaches identified; late submissions to COSUMAF	—	0	RCCI
AML/CFT	None	Client files incomplete beyond 3 months	2% of files	5% of files	RCCI

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Area	Appetite	Indicator	Alert threshold (amber)	Limit (red)	Owner
Revenue concentration	Moderate	Share of revenues from the largest client over a rolling 12 months	30%	50%	Chief Executive Officer
Continuity	Low	Duration of interruption of services to clients	Half a day	One business day	Chief Executive Officer
Complaints	Low	Complaints not dealt with within 30 days	1	3	Head of Sales

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